

TO: Minister of Energy and Mines, Lao PDR

FROM: Policy Analysis Unit, Ministry of Energy and Mines, Lao PDR

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SUBJECT: Reducing Market-Side Exposure in Laos's Hydropower Export Strategy

Summary:

Laos's biggest export is also its biggest liability: one buyer, one grid operator, and no leverage over either. Laos is known as the battery of South East Asia exporting nearly 80% of the energy it generates. Over the past decade this number has tripled to [38 terawatt - hours](#) bringing into the country roughly \$2.65 billion. However, Laos sells almost all of its exported power to one single buyer, Thailand on long term take- or-pay contracts lasting 25-30 years. At the same time, 90% of the country's national transmission company EDL-T, is now under the ownership of [China Southern Grid under a 25 year concession signed in 2020](#). This raises the vulnerability of the country especially given the already existing debt crisis with China. This memo focuses on the market side exposure of the country's energy exports - buyer concentration and recommends two options for further consideration. New generation capacity, including the Luang Prabang mainstream dam now under construction, will expand the pool of power available for a second buyer without requiring Laos to touch its existing Thai contracts — making diversification more feasible in the near term than it has been previously

Background:

Under a 2016 MOU and a 2022 follow, Laos has increased the share of energy sold to Thailand from 9,000 MW to 10,500 MW. These include individual projects such as the Xayaburi Project, which is a long term PPA with Thai utility EGAT where 95% of the energy generated is exported to Thailand on a 31 year fixed contract that has no room to adjust for market price changes. This structure is a major disadvantage to Laos as it often has to purchase power from domestic developers at a lower per kilowatt price than at what it sells to Thailand. This rigidity is compounded by a supply-side constraint: hydropower accounts for roughly 80 percent of Laos's generation, and output dwindles in the March–August dry season, meaning the country cannot simply add buyers without also managing when it can reliably deliver to them.

This is a pressing issue as energy exports are currently the biggest source of revenue for the country and is not easily replaced if Thai demands or pricing shifts. Facing the 2020 crisis the country has already sold a 90% stake of its transmission company, EDL-T to China Southern Grid under a 25 year contract. China holds close to half of Laos's total external debt, which narrows the government's room to renegotiate the EDL-T concession even if it wished to — reinforcing why this memo treats the transmission-ownership question as a separate, longer-term track rather than something addressed here. Any further negotiation with future partners, Thailand or others will now have to go through power grid infrastructure that Laos does not fully own. Presently, any strategy to reduce buyer concentration, must also consider Laos' limitations

such as the fiscal constraints. The state has limited capital to build new transmission infrastructure and this could also take time. Laos can also not risk signaling a shift away from Thailand, its largest buyer mid- contract. This memo provides options to reduce vulnerability of the country on the market front by diversifying its options.

Analysis:

1. Buyer concentration is a pricing problem, not just a diversification problem. The Xayaburi project with Thailand is a 31 year PPA leaving Laos no mechanism to negotiate prices in the event of market price changes and no protection if EGAT renegotiates terms. In order to gain some insurance and pricing power Laos will need to have a second/ alternate buyer.
2. Laos has two existing channels that do not require any new negotiation. Bilateral transmission lines to Vietnam (the Xekaman Cascade, the Monsoon Wind 500kV line, and the Nam Sum/Nam Mo/Nam Ou 5 corridors) already exist and simply need faster commissioning. [Under the existing bilateral energy agreement, Vietnam has committed to importing up to 5,000 MW from Laos by 2030](#), more than triple current volumes. Additionally the Lao PDR–Thailand–Malaysia–Singapore Power Integration Project (LTMS-PIP) doubled its trading capacity to 200MW in October 2025, with Thailand's own utility EGAT as a co-signatory. This channel expands Laos' buyer base through Thailand's own system and avoids a diplomatic risk.
3. Thailand's own domestic market offers an underused second buyer. Thailand's Utility Green Tariff (UGT2) now lets Thai large industrial buyers to buy energy directly at a source specific rate, 4.56 baht per kilowatt-hour . There is currently an estimated unmet demand of 10 gigawatts of energy from these buyers. This option offers price flexibility more than true counterparty independence.

Recommendations:

Option 1: Fast-track diversification through existing multilateral infrastructure (0–18 months)

Laos should seek to accelerate the operation of the existing Vietnam- linked lines and also push to expand the LTMS-PIP allocation beyond 200 MW. Both of these options do not require any future government - to government negotiation or new MOUs. The LTMS-PIP expansion can be pursued through ASEAN Ministers on Energy Meeting alongside an application to the ASEAN Power Grid Financing Facility to [fund the nine LTMS interconnections still outstanding](#).

Option 2: Pilot direct sales into Thailand's UGT2 corporate market (6–24 months)

Authorize EDL to negotiate 2–3 anchor offtake agreements with Thai industrial buyers under

UGT2, prioritizing sectors with committed carbon-reporting requirements. This builds a second revenue channel and a price-adjustment precedent inside the Thai market itself, without threatening the government-to-government relationship.

Both options can run in parallel and neither requires renegotiating existing Thai state contracts, keeping near-term political risk low while building the leverage needed for any future negotiation including, eventually, on the transmission-ownership question this memo has set aside.